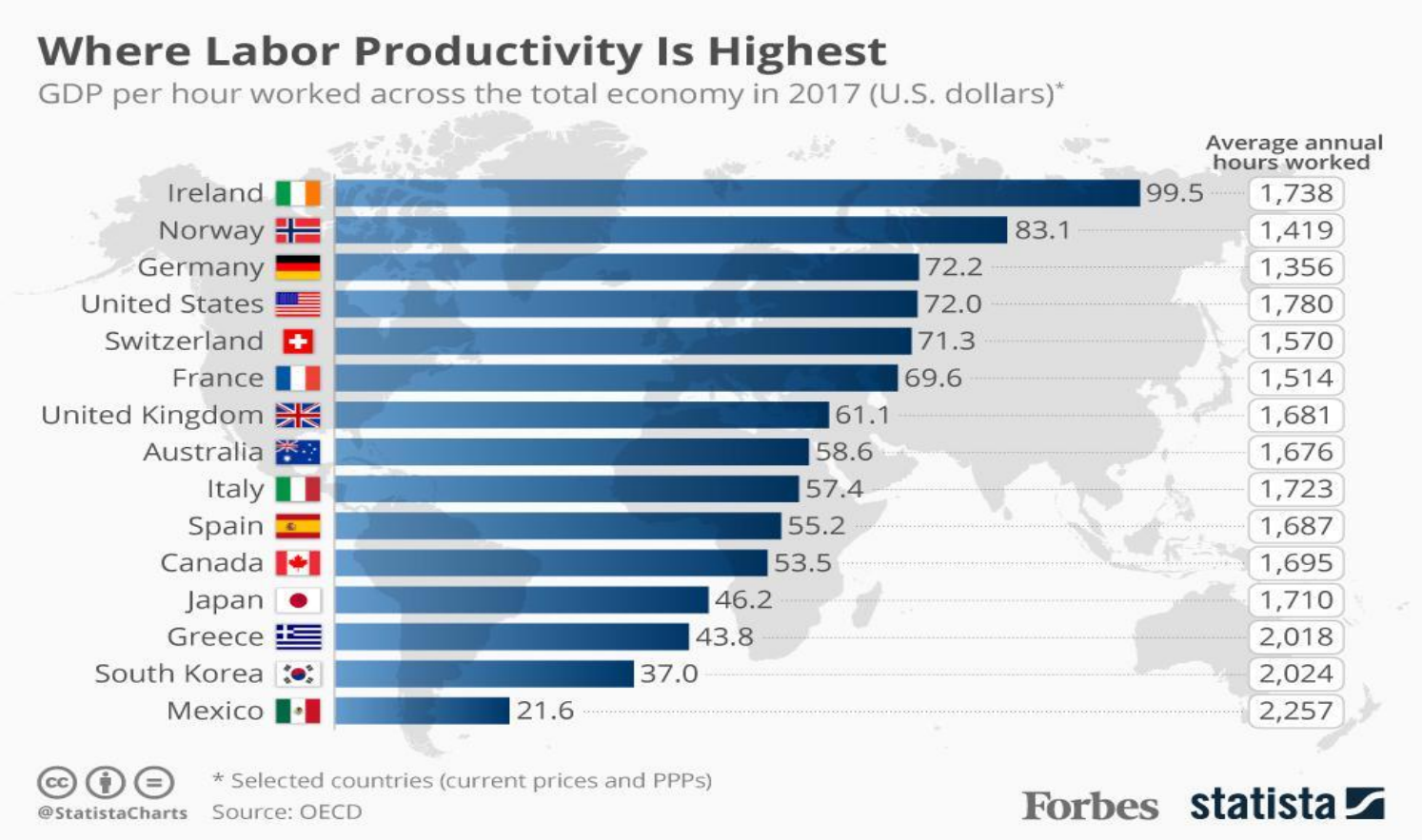
National Differences in Political Economy


Where Labor Productivity Is Highest
GDP per hour worked across the total economy in 2017 (U.S. dollars)*
Average annual hours worked
Ireland 99.5 1,738
Norway 83.1 1,419
Germany 72.2 1,356
United States 72.0 1,780
Switzerland 71.3 1,570
France 69.6 1,514
United Kingdom 61.1 1,681
Australia 58.6 1,676
Italy 57.4 1,723
Spain 55.2 1,687
Canada 53.5 1,695
Japan 46.2 1,710
Greece 43.8 2,018
South Korea 37.0 2,024
Mexico 21.6 2,257
@StatistaCharts
* Selected countries (current prices and PPPs)
Source: OECD
Forbes
statista

Global Innovation Index 2019 rankings

Country/Economy	Score (0–100)	Rank	Income	Rank	Region	Rank	Median 33.86
Switzerland	67.24	1	HI	1	EUR	1	
Sweden	63.65	2	HI	2	EUR	2	
United States of America	61.73	3	HI	3	NAC	1	
Netherlands	61.44	4	HI	4	EUR	3	
United Kingdom	61.30	5	HI	5	EUR	4	
Finland	59.83	6	HI	6	EUR	5	
Denmark	58.44	7	HI	7	EUR	6	
Singapore	58.37	8	HI	8	SEAO	1	
Germany	58.19	9	HI	9	EUR	7	
Israel	57.43	10	HI	10	NAWA	1	
Republic of Korea	56.55	11	HI	11	SEAO	2	
Ireland	56.10	12	HI	12	EUR	8	
Hong Kong, China	55.54	13	HI	13	SEAO	3	
China	54.82	14	UM	1	SEAO	4	
Japan	54.68	15	HI	14	SEAO	5	
France	54.25	16	HI	15	EUR	9	
Canada	53.88	17	HI	16	NAC	2	
Luxembourg	53.47	18	HI	17	EUR	10	
Norway	51.87	19	HI	18	EUR	11	
Iceland	51.53	20	HI	19	EUR	12	
Austria	50.94	21	HI	20	EUR	13	
Australia	50.34	22	HI	21	SEAO	6	
Belgium	50.18	23	HI	22	EUR	14	
Estonia	49.97	24	HI	23	EUR	15	
New Zealand	49.55	25	HI	24	SEAO	7	
Czech Republic	49.43	26	HI	25	EUR	16	
Malta	49.01	27	HI	26	EUR	17	
Cyprus	48.34	28	HI	27	NAWA	2	
Spain	47.85	29	HI	28	EUR	18	
Italy	46.30	30	HI	29	EUR	19	
Slovenia	45.25	31	HI	30	EUR	20	
Portugal	44.65	32	HI	31	EUR	21	
Hungary	44.51	33	HI	32	EUR	22	
Latvia	43.23	34	HI	33	EUR	23	

What Is A Political Economy/System?

Political economy of a nation - how the political, economic, and legal systems of a country are interdependent

- they interact and influence each other
- they affect the level of economic well-being in the nation

Political system - the system of government in a nation

- Assessed according to
  - the degree to which the country emphasizes collectivism as opposed to individualism
  - the degree to which the country is democratic or totalitarian

Collectivism

- Collectivism stresses the primacy of collective goals over individual goals
  - can be traced to the Greek philosopher, Plato (427-347 BC)
- Today, collectivism is equated with socialists (Karl Marx 1818-1883)
  - advocate state ownership of the basic means of production, distribution, and exchange
  - manage to benefit society as a whole, rather than individual capitalists

Individualism

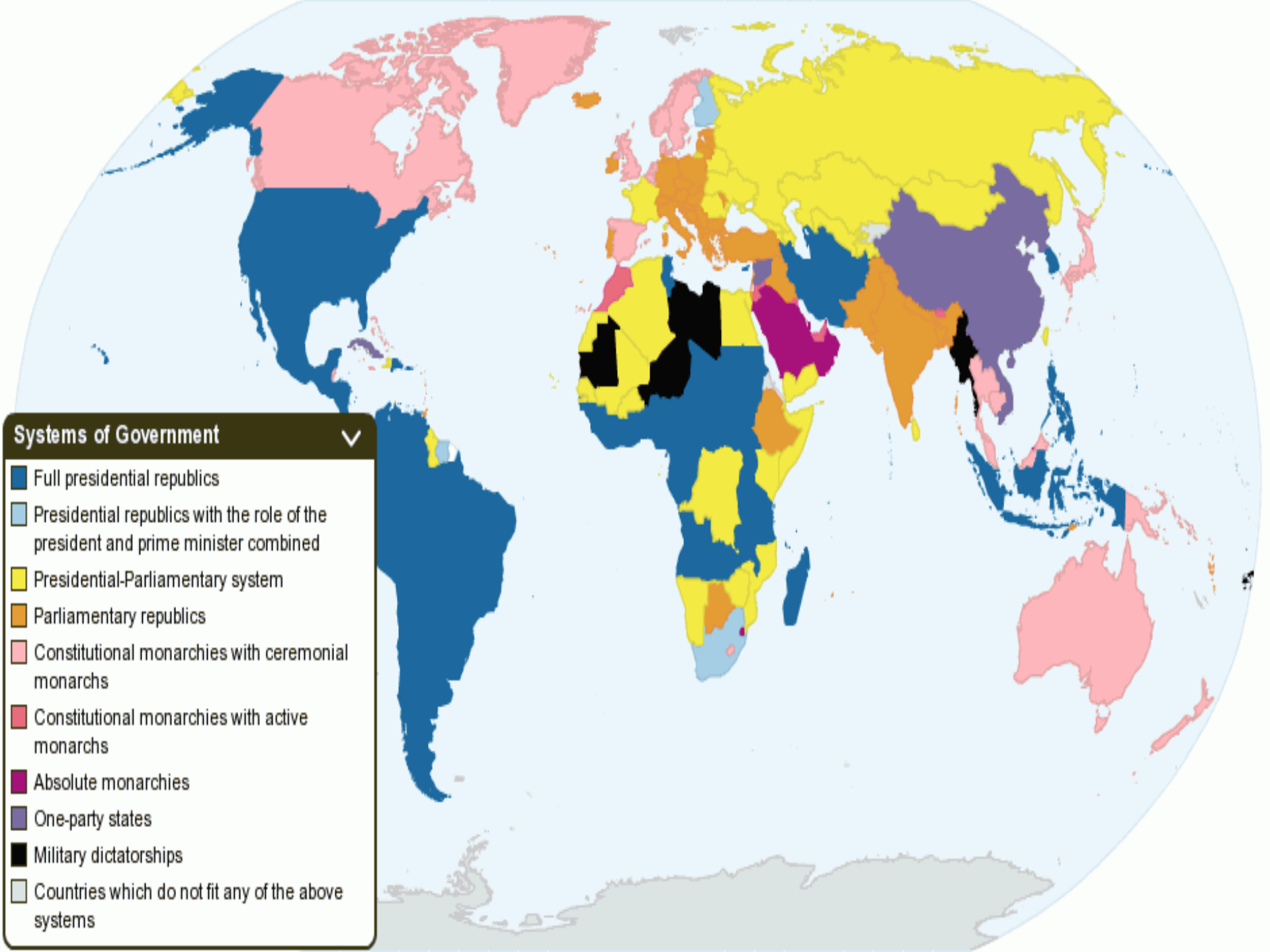
- Individualism refers to philosophy that an individual should have freedom in his own economic and political pursuits
  - can be traced to Greek philosopher, Aristotle (384-322 BC)
    - individual diversity and private ownership are desirable
  - individual economic and political freedoms are the ground rules on which a society should be based
  - implies democratic political systems and free market economies

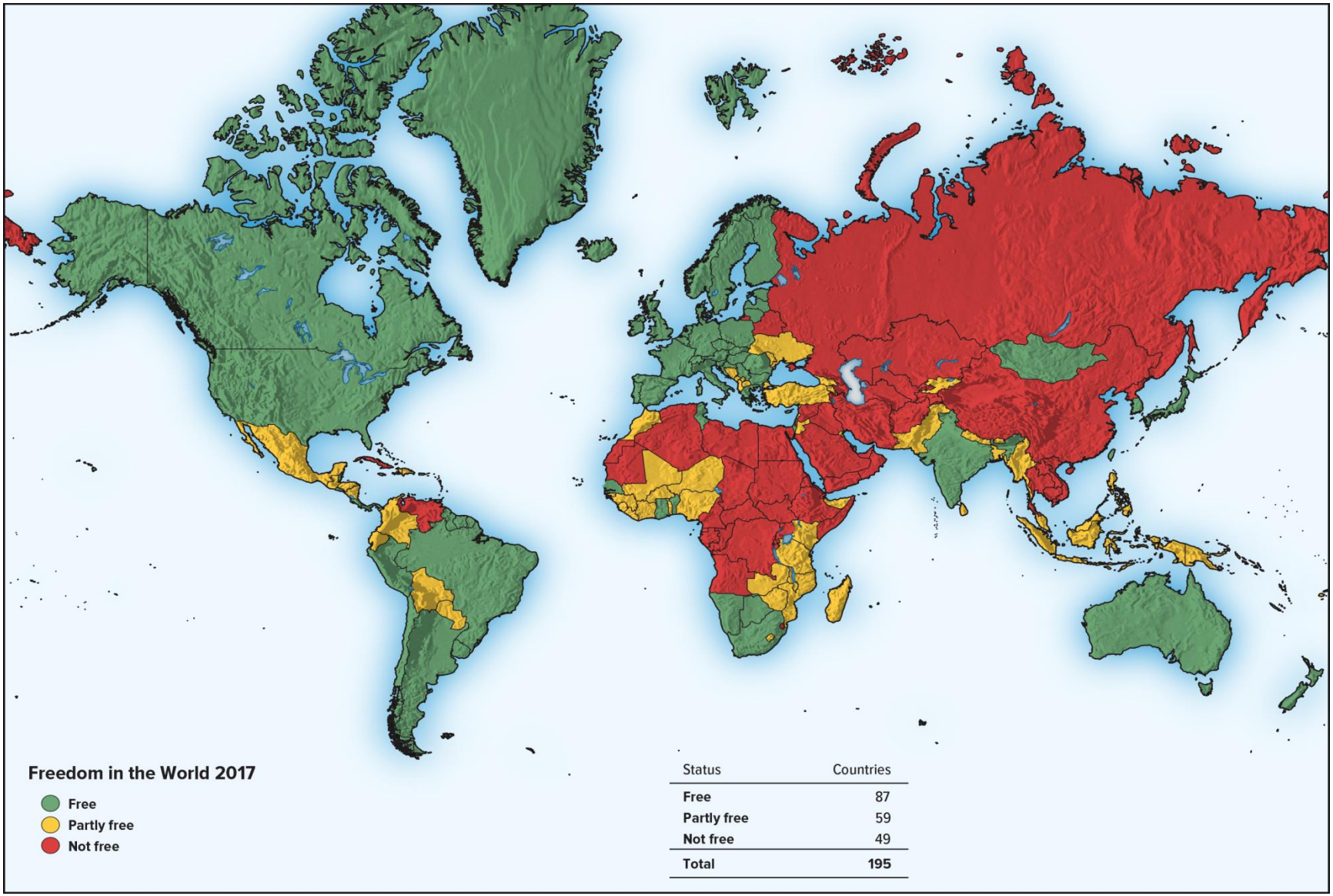
Democracy VS Totalitarianism

- Democracy - a political system in which government is by the people, exercised either directly or through elected representatives
  - usually associated with individualism
  - pure democracy is based on the belief that citizens should be directly involved in decision making
  - most modern democratic states practice representative democracy where citizens periodically elect individuals to represent them

Totalitarianism

- Totalitarianism - form of government in which one person or political party exercises absolute control over all spheres of human life and prohibits opposing political parties
  - Communist totalitarianism – found in states where the communist party monopolizes power
  - Theocratic totalitarianism - found in states where political power is monopolized by a party, group, or individual that governs according to religious principles
  - Tribal totalitarianism - found in states where a political party that represents the interests of a particular tribe monopolizes power
  - Right-wing totalitarianism - permits some individual economic freedom, but restricts individual political freedom


Systems of Government
Full presidential republics
Presidential republics with the role of the president and prime minister combined
Presidential-Parliamentary system
Parliamentary republics
Constitutional monarchies with ceremonial monarchs
Constitutional monarchies with active monarchs
Absolute monarchies
One-party states
Military dictatorships
Countries which do not fit any of the above systems



Status	Countries
Free	87
Partly free	59
Not free	49
Total	**195**

SOCIALISM: You have 2 cows.

You give one to your neighbour

COMMUNISM: You have 2 cows.

The State takes both and gives you some milk

FASCISM: You have 2 cows.

The State takes both and sells you some milk

NAZISM: You have 2 cows.

The State takes both and shoots you

BUREAUCRATISM: You have 2 cows.

The State takes both, shoots one, milks the other, and then throws the milk away

TRADITIONAL CAPITALISM

You have two cows.

You sell one and buy a bull.

Your herd multiplies, and the economy grows.

You sell them and retire on the income

Market Systems

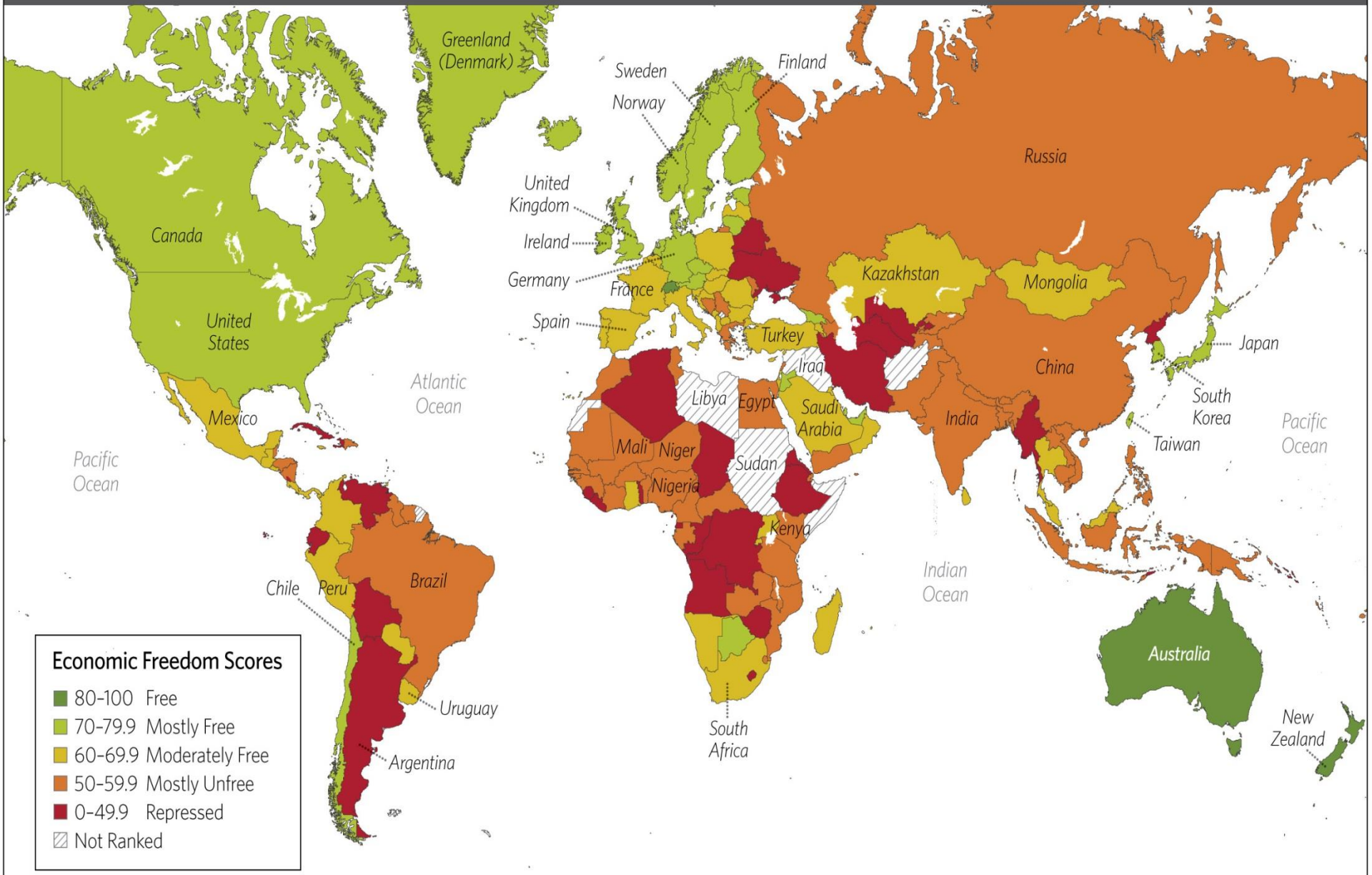
Command economies - government plans the goods and services that a country produces, the quantity that is produced, and the prices as which they are sold

Mixed economies - certain sectors of the economy are left to private ownership and free market mechanisms while other sectors have significant state ownership and government planning

Market economies - all productive activities are privately owned and production is determined by the interaction of supply and demand

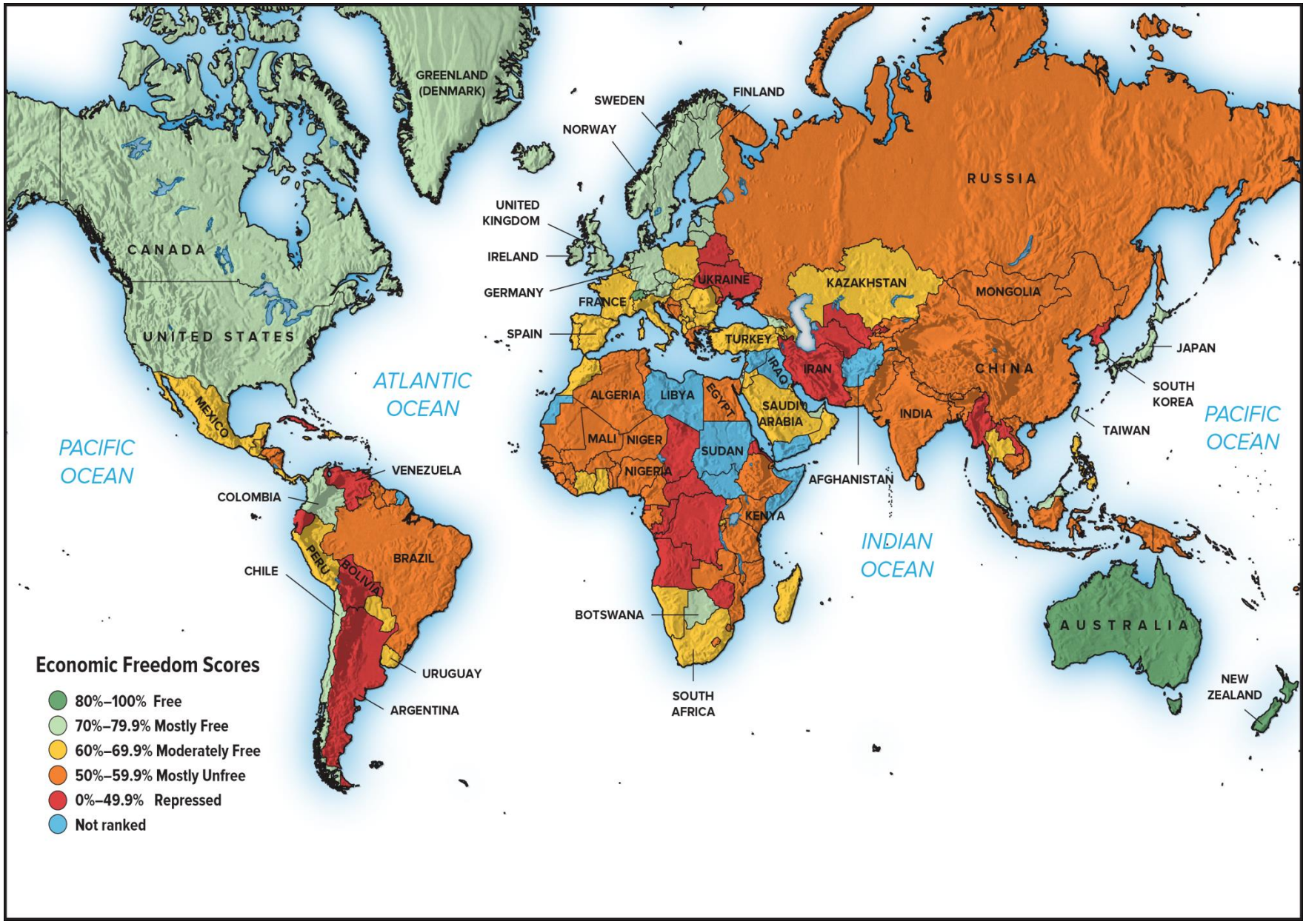
- government encourages free and fair competition between private producers

The World



Source: Terry Miller, Kim R. Holmes, and Edwin J. Feulner, *2013 Index of Economic Freedom* (Washington, D.C.: The Heritage Foundation and Dow Jones & Company, Inc., 2013), http://www.heritage.org/index.

Map 1 heritage.org


GREENLAND (DENMARK)
CANADA
UNITED STATES
MEXICO
PACIFIC OCEAN
ATLANTIC OCEAN
VENEZUELA
COLOMBIA
PERU
BOLIVIA
BRAZIL
CHILE
URUGUAY
ARGENTINA
SWEDEN
FINLAND
NORWAY
UNITED KINGDOM
IRELAND
GERMANY
FRANCE
SPAIN
UKRAINE
TURKEY
ALGERIA
LIBYA
EGYPT
MALI
NIGER
NIGERIA
SUDAN
KENYA
BOTSWANA
SOUTH AFRICA
IRAQ
IRAN
SAUDI ARABIA
AFGHANISTAN
KAZAKHSTAN
RUSSIA
MONGOLIA
CHINA
INDIA
JAPAN
SOUTH KOREA
TAIWAN
INDIAN OCEAN
AUSTRALIA
NEW ZEALAND
Economic Freedom Scores
80%–100% Free
70%–79.9% Mostly Free
60%–69.9% Moderately Free
50%–59.9% Mostly Unfree
0%–49.9% Repressed
Not ranked

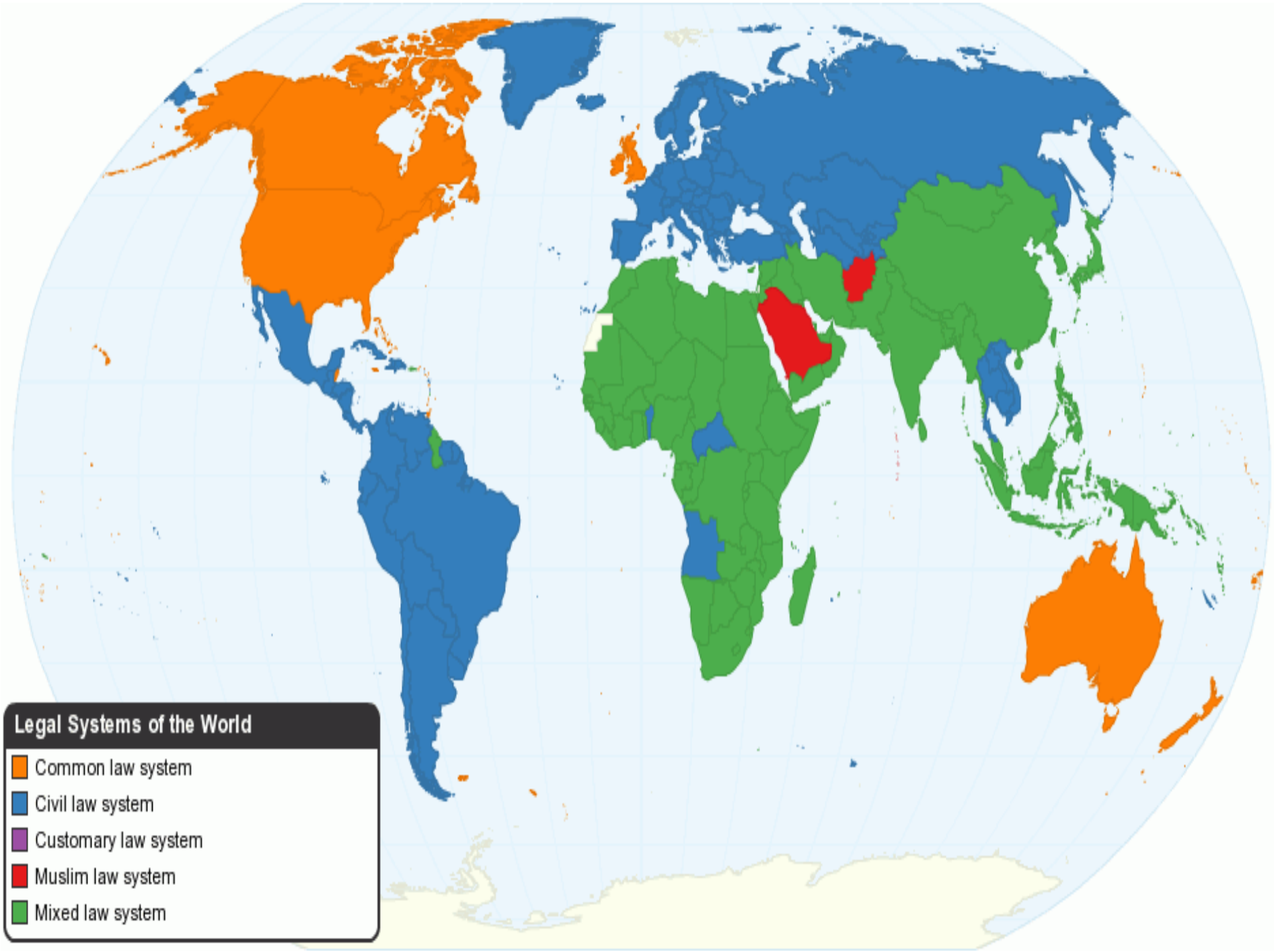
Legal System

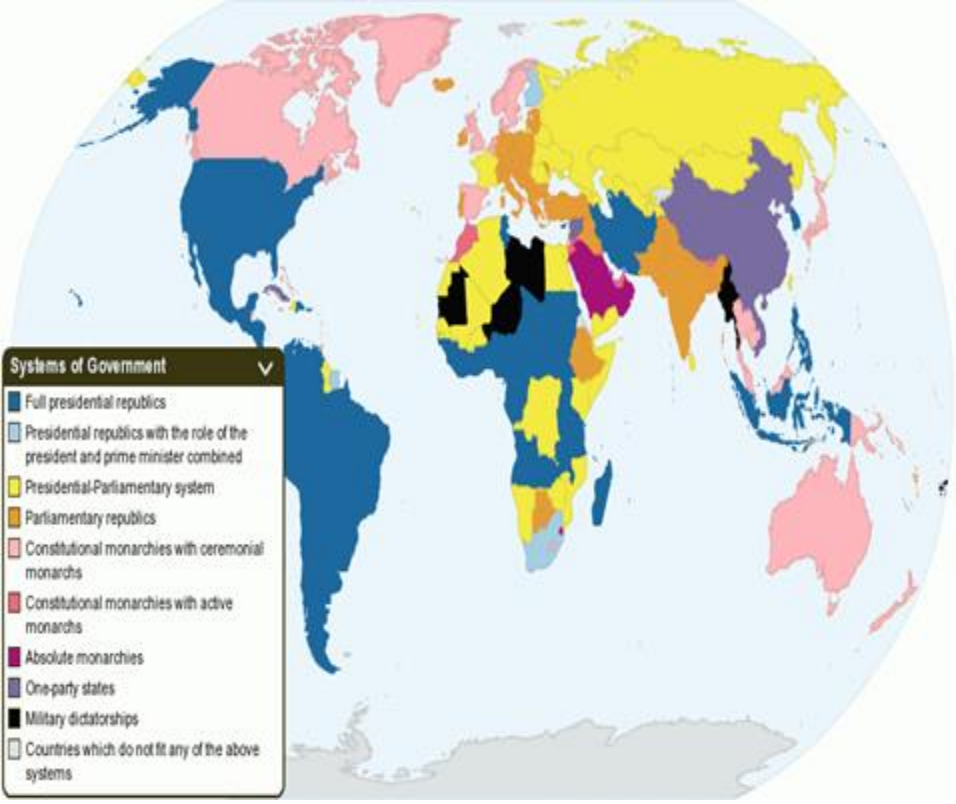
Legal system - the rules that regulate behavior along with the processes by which the laws are enforced and through which redress for grievances is obtained

- the system in a country is influenced by the prevailing political system

- Legal systems are important for business because they
  - define how business transactions are executed
  - identify the rights and obligations of parties involved in business transactions

- There are three types of legal systems
  1. Common law - based on tradition, precedent, and custom
  2. Civic law - based on detailed set of laws organized into codes
  3. Theocratic law - law is based on religious teachings


Legal Systems of the World
Common law system
Civil law system
Customary law system
Muslim law system
Mixed law system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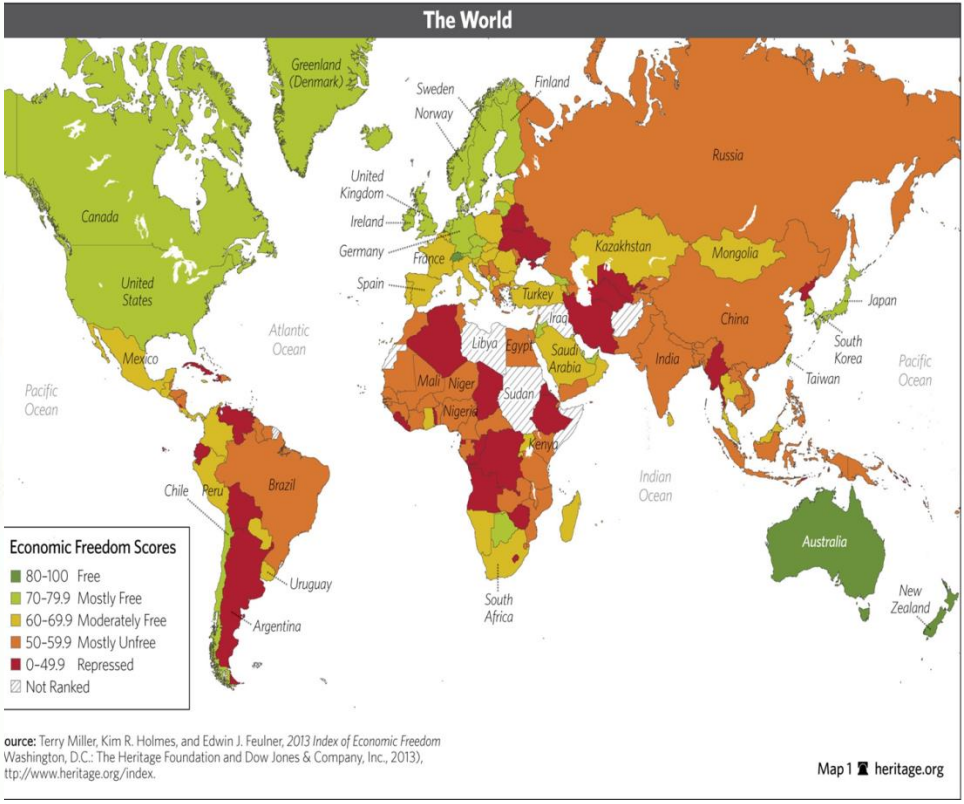
The World
Greenland (Denmark)
Canada
United States
Mexico
Pacific Ocean
Atlantic Ocean
Sweden
Norway
Finland
Russia
United Kingdom
Ireland
Germany
France
Spain
Kazakhstan
Mongolia
Turkey
Iraq
China
Japan
South Korea
Taiwan
Libya
Egypt
Saudi Arabia
India
Mali
Niger
Nigeria
Sudan
Kenya
Chile
Peru
Brazil
Uruguay
Argentina
South Africa
Indian Ocean
Australia
New Zealand
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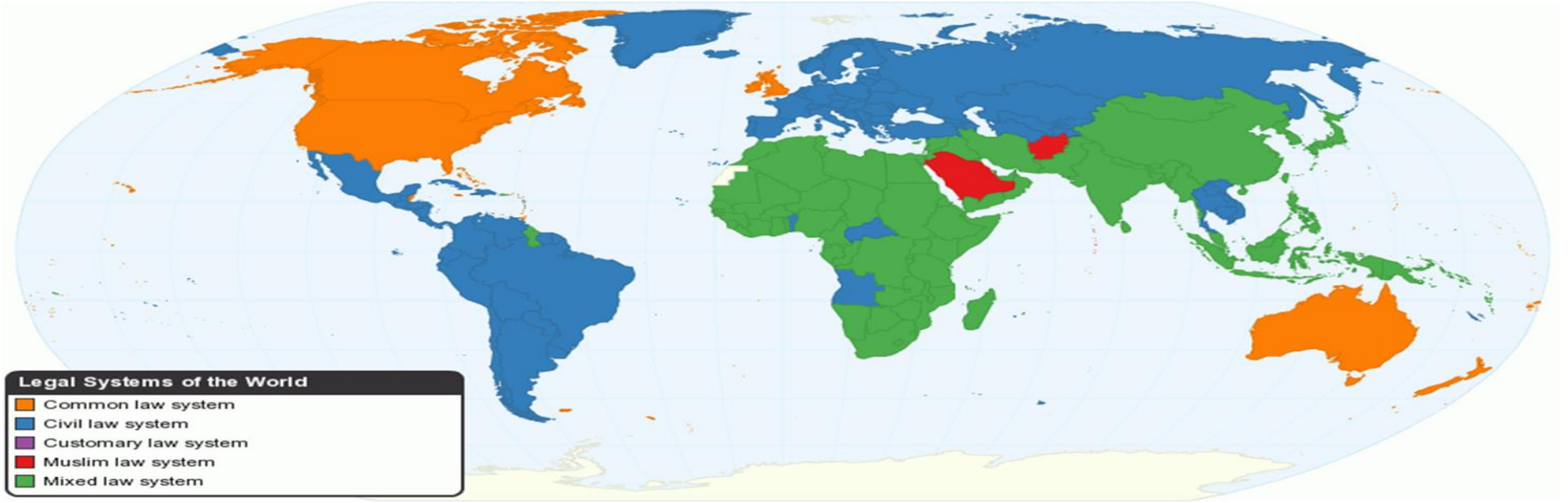
Map 1 heritage.org


Legal Systems of the World
Common law system
Civil law system
Customary law system
Muslim law system
Mixed law system

Risks in International Business

- Commercial Risks
  - Non acceptance of goods, insolvency, non payment
- Economic Risks
  - Restrictions imposed on business citing national security, scarcity, protecting natural resources
- Political Risks
  - Political decisions that affect business – confiscation, nationalization, domestication

- http://www.coastlightcapital.com/heatmap-g20-indicators-2/
- http://viewswire.eiu.com/index.asp?layout=homePubTypeRK
- http://fundforpeace.org/fsi/
- https://fragilestatesindex.org/
- http://www.livemint.com/Politics/oXNldnOGshT3aVN09csjxL/Global-Political-Risk-Index.html

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ROYAL BANK OF SCOTLAND (VENTURE) CAPITALISM

You have two cows.

You sell three of them to your publicly listed company, using letters of credit opened by your brother-in-law at the bank, then execute a debt/equity swap with an associated general offer so that you get all four cows back, with a tax exemption for five cows.

The milk rights of the six cows are transferred via an intermediary to a Cayman Island Company secretly owned by the majority shareholder who sells the rights to all seven cows back to your listed company.

The annual report says the company owns eight cows, with an option on one more. You sell one cow to buy a new president of the United States , leaving you with nine cows. No balance sheet provided with the release.

The public then buys your bull.

SURREALISM

You have two giraffes.

The government requires you to take harmonica lessons.

What has gone wrong in Venezuela?

18 May 2016 | Latin America & Caribbean

Opposition protesters have taken to the streets in recent weeks to demand that President Maduro leave office

Venezuela's President Nicolas Maduro has declared a state of emergency to combat the economic war he says foreign powers and right-wing forces in Venezuela are waging against the Latin American country.

Venezuela has the world's highest inflation rate at 180% and there are shortages of basic goods as well as power shortages.

Opposition politicians have handed in a petition with 1.85 million signatures asking for a recall referendum to oust President Maduro from power.

Here, we look at some of the factors which have led to the oil-rich country's current crisis.

Why low oil prices are bad for Venezuela

some of the government's generous social programmes which, according to official figures, have provided more than one million poor Venezuelans with homes.

But prices for Venezuelan oil have plummeted. They almost halved from an average $88 per barrel in 2014 to $45 in 2015.

By 13 May 2016, they had fallen to $35 per barrel.

The low oil price means that the government does not have the amount of dollars in coffers it once had.

This in turn is a problem because Venezuela's economy is not at all diverse.

The country grows and produces very little except oil and has historically relied on imports to feed its people.

A lack of dollars means it is struggling to import all the goods its people need and w

What's behind the shortages?

A sign in a Caracas bakery informs customers that there is no bread (February 2016)

The fact that the government has fewer dollars at its disposal to import goods is a la part of the problem.

But there are also other factors.

President Hugo Chavez, who governed Venezuela from 1999 to 2013, introduced pri controls on some basic goods in 2003.

The idea was to make essential goods affordable for Venezuela's poor. The prices o items such as sugar, coffee, milk, rice, flour and corn oil were capped.

Producers complained that the new regulations forced them to operate at a loss.

Some refused to provide goods for the government-run stores where the price-controlled goods were sold; others decided to stop producing these goods altogether.

The result was that the country became even more reliant on imports.

What's with the long queues?

Venezuelans have grown accustomed to having to queue for hours to get some of their daily staples

With subsidised goods becoming increasingly scarce, many Venezuelans have been forced to queue for hours to get the essentials.

When a sought-after staple such as cornflour arrives at a supermarket, the word will spread quickly over social media and hundreds of people will queue to get it.

The government says the shortages are being made worse by an "economic war" being waged against it.

It says that some people are hoarding goods while other buy more than they need to sell them on at a profit.

To cut down on such behaviour, President Maduro announced in 2014 that he would introduce fingerprinting for shoppers.

He has also accused merchants of holding back goods to drive up prices.

The government says that up to 40% of all subsidised goods are being smuggled into neighbouring Colombia, where they are sold at a massive profit.

In August 2015, Mr Maduro ordered the partial closing of the border with Colombia.

Despite these measures, the shortages have become chronic and the queues continue.

Some Venezuelans are even reporting going hungry because they struggle to get the food they need.

Why is inflation so high?

Inflation has skyrocketed

With so many goods hard to get hold of, prices have shot up. There is a black market for everything from staple goods to dollars.

Shoppers report that bags of cornflour, used to make typical Venezuelan corn cakes or arepas, are going for many times the price set by the government.

Venezuela seizes Kimberly-Clark plant as country plunges deeper into crisis

12 Jul 2016

Venezuelans storm Colombia border city in search of food and basic goods

5 Jul 2016 454

Venezuelan president is to blame for humanitarian crisis, OAS chief says

-lady-cocaine-arrest-kidnapping

The Guardian briefing / Venezuela's worsening economic crisis - the Guardian briefing

What has gone wrong in Brazil?

31 May 2016 | Latin America & Caribbean

Share

Political divisions in Brazil are deepening as more and more politicians are accused of corruption

Brazilian President Dilma Rousseff has been suspended from office pending an impeachment trial over accusations that she illegally manipulated government accounts, which she denies.

Ms Rousseff will remain suspended for the duration of the trial which can last up to 180 days. Her vice-president, Michel Temer, is serving as interim president.

Here we take a closer look at the problems in Brazil and what has gone wrong since Ms Rousseff was elected for a second term in October 2014.

President Rousseff under fire

Dilma Rousseff is facing an impeachment trial in the Senate

Dilma Rousseff's approval ratings have plummeted since she narrowly won her second presidential election in October 2014.

According to a Datafolha poll (in Portuguese) released on 11 April, 63% of respondents across the country said her government was "bad or terrible", with only 13% saying it was "good or excellent".

Experts say this reflects voters' disillusionment with a deep recession and a corruption scandal involving the state-controlled oil company Petrobras.

The investigation into the corruption scandal, dubbed Operation Car Wash, has implicated important figures from Ms Rousseff's Workers' Party, but also some of her opponents.

The political crisis has deepened old political rivalries.

Supporters of the Workers' Party point to the achievements the Rousseff administration and that of President Lula brought about, such as lifting millions of people out of poverty and reducing inequality.

They say the allegations against them are a smear campaign designed to drive Ms Rousseff from office and prevent Lula from standing for the presidency in 2018.

They say the massive corruption investigations are a sign that under the Rousseff government, such crimes are being punished rather than swept under the carpet as in previous administrations.

The fact that high-ranking members of the Workers' Party have been convicted, they argue, is proof that there is no immunity.

Opponents of Ms Rousseff accuse her of mismanaging the economy and say her government is deeply corrupt.

They say they are fed up with the Workers' Party after its 13 years in power and demand a clean slate.

Economy in the doldrums

Critics say Brazils fairytale is over as its once booming economy has tanked

Brazil's economy is going through its worst recession in more than three decades following a drop in prices for Brazilian commodities such as oil, iron ore and soya.

In 2015, the economy shrank by 3.8%, its worst annual performance since 1981.

Inflation reached 10.7% at the end of last year, a 12-year-high.

Unemployment increased to 9% in 2015 and economists predict it could go into double figures in the coming months.

The forecast for 2016 does not look any rosier with GDP expected to decline by 3.8% again and inflation expected to rise.

NATION, WORLD › SOCIETY

What's behind Brazil's economic and political crises?

UCLA experts weigh in on turmoil the country is facing on multiple fronts

Peggy McInerny | May 16, 2016

RECOMMEND 62 TWEET IN SHARE 1 SHARE PRINT

Wilson Dias/Agência Brasil Fotografias/Creative Commons

A crowd protests against corruption breaks out in Brasília on March 13. Brazilians are tired of the political chaos and economic crisis, says a UCLA Ph.D. candidate in political science.

Five UCLA experts from across the campus recently assembled a big-picture view of the political turmoil, economic crisis and investigation into widespread corruption that are shaking Brazil to its core.

"These are turbulent times in Brazil," said Felicio Filho, a UCLA Ph.D. candidate in political science, who moderated a panel discussion hosted by UCLA Center for Brazilian Studies for an audience at the Luskin School of Public Affairs. "It's hard to predict what comes next and its consequences for the future of the largest country in this hemisphere."

The situation for the country that is scheduled to host the Summer Olympics beginning on August 5 is dire. On Thursday, President Dilma Rousseff was removed from office, stepping down for a period of 180 days while an impeachment process proceeds on charges that she violated the country's law on fiscal responsibility. Rousseff is by no means the only politician in trouble. More than half the members of Congress are currently under investigation as part of a massive corruption scandal linked to the state oil and gas firm Petrobras.

In Rousseff's place, Vice President Michel Temer is now at the helm and assembling a new government in what Rousseff definitly charges is a roomittary coup.

At the same time, the country's economic growth has slowed precipitously, due to a ballooning deficit, falling oil prices and structural inefficiencies.

Currently, conservative parties are poised to dominate the post-Rousseff government, but there is no end in sight to either the economic or corruption crises presently gripping the country, said panel members Roberto Veras de Oliveira, associate professor at the Federal University of Paraíba and a UCLA visiting scholar; William Summerhill, UCLA professor of history; Barbara Geddes, UCLA professor of political science; and Manoel Gehlen, UCLA Ph.D. candidate in political science.

Fiscal deficit drives economic crisis

The heart of the charges of fiscal irresponsibility against President Rousseff revolve around short-term, off-the-books loans the government obtained from government-owned banks, Summerhill explained. As revenue arrived in the treasury, the government immediately repaid the loans. Over time, however, it could not keep up with the repayments.

While the baseline "structural" value of these loans was roughly 1 billion Brazilian reais per year from 2001 to 2008, the volume of these loans later exploded, reaching some $58 billion by 2015. This level of spending, he said,

More Nation, Wo

UCLA po students historic B

UCLA fac Lamentin of one of Brothers

No more sugar int foods

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ARTS › CULTURE Judy Baca's legac walls of Los Angel

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HEALTH › BEHAV No more sneaking packaged foods

STUDENTS › CAM Renowned L.A. fo her UCLA class w questions about f

OPINION › VOICE UCLA faculty volc the murder of one Brothers

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SCIENCE › TECH Cutting-edge mod heart will help sci new therapies

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You are the CEO of a company that has to choose between making a $100 million investment in Russia or the Czech Republic. Both investments promise the same long run return, so your choice is driven by risk considerations. Assess the various risks of doing business in each of these nations. Which investment would you favor and why?